STIVEN CATALYST

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MANAGEMENT REVIEW

Management without theatre.



KPIS

KPIS THAT WARN YOU IN TIME

Why a result tells you what has already happened, which measures show what is coming, and how to pair the two.

60% of managers say their KPIs need to improve.

MIT SMR & BCG, 2024

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A KPI that turns red has already done its damage. The practical question, then: which measures show a problem while there is still time to act?

Kaplan and Norton built the Balanced Scorecard on the idea that results and the drivers of results have to be measured together. OSHA asks the same of safety: count the injuries, but first measure what prevents them. Surveys of managers show the gap that remains: most say their KPIs need to improve, and only about a quarter of senior managers strongly agree that their KPIs are tied to strategy.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure
Every figure has its source and year at the foot of its page.

Our reading
Where the editors interpret rather than the research, it says so.

Practice
The steps and the card are proposals to try, not research results.

COVER STORY

The result always arrives late

A lagging indicator counts what has already happened. A leading indicator measures what makes it happen. You need both, but only one of them gives you time.

Leading	Lagging
Proactive, preventive, predictive	Counts events that have already happened
Shows whether the work that prevents problems is being done	Shows whether the effort worked
Example: share of workers at the refresher training	Example: the rate of injuries and illnesses

This is how OSHA, the US workplace safety agency, describes them in its 2019 guide, and it advises using both. Kaplan and Norton made the same argument for the whole business in 1992: financial measures show the results of actions already taken, so the Balanced Scorecard adds measures of customers, internal processes, and innovation and improvement, which drive the results to come.

1975
Goodhart: a statistical regularity tends to collapse once used for control.

1992
Kaplan and Norton: the Balanced Scorecard, with four perspectives.

1996
Outcome measures, paired with the drivers that produce them.

2019
OSHA's guide to leading indicators for safety.

OUR READING

A lagging KPI tells you whether you made it. A leading one tells you whether you will, while you can still change the answer.

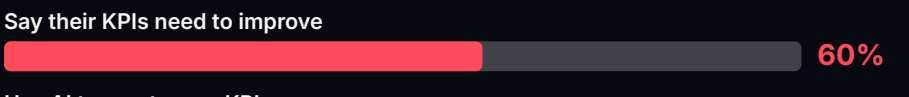
Sources: OSHA, 2019; Robert S. Kaplan & David P. Norton, Harvard Business Review, 1992; Robert S. Kaplan & David P. Norton, Harvard Business Review, 1996; Charles Goodhart, 1975 (via Bevan & Hood (2006), quoting the 1984 reprint)

THE NUMBERS

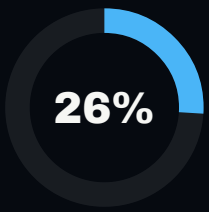
KPIs that fall short

Two surveys of managers, six years apart, describe the same gap: the KPIs are there, the confidence in them is not.

MANAGERS AND THEIR KPIS, 2024



Share of respondents in the 2024 MIT SMR and BCG survey: more than 3,000 people, in 25+ industries and 100 countries. What they say themselves.



of senior managers strongly agree that their KPIs are aligned with their organisation's strategic objectives (2018).

Share of senior managers in the 2018 MIT SMR and Google study, which surveyed more than 3,200 people. Read via MIT Sloan's press release.

3,000+
people surveyed for the 2024 report, in 25+ industries and 100 countries

90%
of those who use AI for KPIs say their KPIs improved

3,200+
people surveyed for the 2018 study

OUR READING

Only a quarter of senior managers are fully convinced that their KPIs follow the strategy. Numbers are plentiful; what is missing are numbers that say early enough what matters.

Sources: MIT Sloan Management Review & BCG, 2024; MIT Sloan Management Review & Google, 2018 (via MIT Sloan press release, 2018)

THE MODEL

From the result back to the cause

You find a leading indicator by working back from the result you want to the work that produces it. A ready-made list will rarely give you one.

01	02	03	04	05
The result	**The cause**	**The signal**	**The threshold**	**The action**
Which lagging KPI do you want to improve?	What drives it most often?	How can you measure the cause before the result?	At which value do you act?	Who acts, and how fast?

HYPOTHETICAL EXAMPLE, A WAREHOUSE

The result	Incomplete orders reported by customers.
The cause	Items missing when the truck is loaded.
The signal	The share of orders fully scanned before loading, per shift.
The threshold	Below 98% in a shift.
The action	The shift lead checks the open orders with the team before departure.

The figures are invented, to show the method.

OUR READING

The best leading indicator is close to the work: the team sees it during the shift and can change it the same day.

Source: Robert S. Kaplan & David P. Norton, Harvard Business Review, 1996

The chain is the editors' model, built on the logic of Kaplan and Norton (1996): outcome measures and the drivers that produce them.

HOW TO START

Three ways to a first indicator

OSHA's guide suggests three starting points. Its examples come from safety, but the logic works for any process.

1. **From data you already collect**
   For example, the share of workers who attend the refresher training.

2. **From a hazard you know**
   For example, walkways inspected and cleared, truck brakes replaced on time, how long the lift team takes to arrive.

3. **From one part of the programme**
   For example, preventive maintenance done on schedule, or hazards corrected within the day, week or month they were found.

“When a measure becomes a target, it ceases to be a good measure.”

Marilyn Strathern's 1997 wording of an idea the economist Charles Goodhart put forward in 1975.

OUR READING

A leading indicator is there to learn from. Turn it into a target at any price, or a reason to punish, and people learn to hit the number instead of fixing the cause.

Sources: OSHA, 2019; Marilyn Strathern, European Review, 1997; Charles Goodhart, 1975 (via Bevan & Hood (2006), quoting the 1984 reprint)

HOW IT IS MEASURED

Five tests for a leading indicator

Before you put a new indicator on the board, check it against five questions. If it fails one, it will not warn you in time.

01 **It moves first**
When it worsens, does the result usually worsen later?

02 **The team can move it**
Can the people who see it change it with their own work?

03 **It is fast**
Is it ready in the same shift or day, not at the end of the month?

04 **It has a threshold and an owner**
Is it clear at which value someone acts, and who?

05 **It is reviewed**
After three months, did it really move before the result?

OUR READING

Until an indicator passes the fifth test, it remains a guess. Keep the ones that have proved they warn, and drop the ones that only add work.

The five tests are a practice proposed by the editors.

More in the essay KPIs the team trusts

TOOL OF THE ISSUE

The card for one leading indicator

One lagging KPI, and one leading indicator for it. Fill in the card together with the people who do the work, rather than on their behalf.

01 The result the lagging KPI and its current value

02 The main cause what drives it most often

03 The leading indicator what exactly is counted, and how

04 When it is measured every shift, every day, every week

05 The threshold and the action at which value, who acts, how fast

06 The review date did it move before the result?

Proposed by the editors as a practice. Keep names, customer data and confidential figures off the card.

Open the tool: KPI Diagnostic stivencatalyst.com/tools/kpi-diagnostic/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Using Leading Indicators to Improve Safety and Health Outcomes
OSHA, 2019
https://www.osha.gov/sites/default/files/OSHA_Leading_Indicators.pdf

The Balanced Scorecard: Measures That Drive Performance
Robert S. Kaplan & David P. Norton, Harvard Business Review, 1992

Using the Balanced Scorecard as a Strategic Management System
Robert S. Kaplan & David P. Norton, Harvard Business Review, 1996
https://hbr.org/2007/07/using-the-balanced-scorecard-as-a-strategic-management-system

The Future of Strategic Measurement: Enhancing KPIs With AI
MIT Sloan Management Review & BCG, 2024
https://sloanreview.mit.edu/projects/the-future-of-strategic-measurement-enhancing-kpis-with-ai

Leading With Next-Generation Key Performance Indicators
MIT Sloan Management Review & Google, 2018 · via MIT Sloan press release, 2018
https://sloanreview.mit.edu/projects/leading-with-next-generation-key-performance-indicators

Problems of Monetary Management: The U.K. Experience
Charles Goodhart, 1975 · via Bevan & Hood (2006), quoting the 1984 reprint

'Improving ratings': audit in the British University system
Marilyn Strathern, European Review, 1997
https://www.cambridge.org/core/journals/european-review/article/improving-ratings-audit-in-the-british-university-system/FC2EE640C0C44E3DB87C29FB666E9AAB

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked "via". The editors' interpretation is marked "Our reading". Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

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Every issue, one management question, checked against the best research.

ALL ISSUES

stivencatalyst.com/magazine/management-review.html

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